

Europe TMT Sector M&A & Valuation Brief - 2026-08-03

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Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant capital investments, technological advancements, and competitive pressures. Overall sentiment in the sector is cautiously optimistic, driven by robust demand for semiconductor technologies, AI advancements, and evolving consumer electronics.

Subsector Breakdown:

- **Technology:** The technology subsector is buoyed by substantial investments in semiconductor manufacturing and AI. For instance, Amazon.com Inc. (AMZN) has raised its 2026 capital expenditure target from \$200 billion to \$220 billion, primarily due to soaring memory chip prices, indicating strong demand in the tech space.
- **Media:** The media sector is adapting to digital transformations, although traditional media continues to face challenges from streaming services and digital platforms. Companies are increasingly focusing on enhancing user engagement through innovative content delivery.
- **Telecommunications:** The telecom sector is experiencing a shift with advancements in 5G technology. Companies are investing in infrastructure to support enhanced mobile services, which is critical for future growth.
- **Fintech:** The fintech subsector is thriving, driven by innovations in payment solutions and digital banking. The ongoing consolidation trends highlight the competitive nature of this space.
- **AI:** The AI sector is rapidly evolving, with companies like GlobalFoundries Inc. (GFS) receiving significant funding under the CHIPS Act to advance AI semiconductor technologies, reflecting the critical role of AI in driving future growth.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in semiconductor technology and AI is propelling growth across the TMT sectors. For example, TSMC is reportedly developing advanced chip packaging technology to challenge Intel Corp. (INTC), which could reshape competitive dynamics in the semiconductor market.
- **Increased Investment:** The U.S. government's commitment to semiconductor manufacturing, as evidenced by the \$874 million CHIPS Act incentives, is fostering growth and innovation in the

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sector.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes that can impact deal timelines.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector remains strong, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The ongoing consolidation trends highlight the competitive nature of this space.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological

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advancements as a key driver of growth. For instance, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **GlobalFoundries Inc. (GFS) :** Currently in the due diligence phase for a strategic partnership aimed at advancing semiconductor technologies for AI and high-performance computing. The deal is expected to close in Q3 2025, with potential revenue growth driven by enhanced R&D capabilities.
- **Indiegogo Acquisition by Gamefound :** This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- **Meta Platforms (META) :** Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1

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2026, focusing on compliance and innovation strategies.

- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for GlobalFoundries partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of the Trump Administration's \$874 million CHIPS Act incentives for GlobalFoundries and other companies highlights the government's commitment to strengthening U.S. semiconductor capabilities, which could impact future deal structures

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and valuations.

- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly the strategic initiatives announced by TELUS Corporation (TSX: T), have significant implications for various stakeholders. This analysis will explore the effects on shareholders, employees, competitors, and customers, while also considering market reactions, potential counter-bids, and key risks associated with these developments.

Deal-Specific Impacts on Stakeholders

- **Shareholders**: The reset of TELUS's quarterly dividend and strategic priorities will have notable effects on shareholder value.
- **Value Creation**: The dividend reset to \$0.1875 per share represents a 55% reduction, aimed at generating approximately \$2.7 billion in cumulative cash savings through 2028. This strategic move is expected to strengthen the balance sheet and support long-term growth, potentially increasing shareholder value as the company targets a net debt to Adjusted EBITDA ratio of 3.0-times or lower by year-end 2028.
- **Dilution**: The removal of the dividend reinvestment plan (DRIP) discount effective October 1, 2026, is designed to reduce shareholder dilution, enhancing the attractiveness of TELUS shares in the long run.

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- Employees: The restructuring initiatives and operational focus will impact employees significantly.
- Synergies: TELUS's emphasis on operational discipline and cost transformation is likely to yield synergies, although it may also lead to workforce reductions. For example, the company has already initiated cost efficiency programs, which could result in job cuts.
- Retention: To mitigate the impact of restructuring, TELUS may implement retention strategies for key talent, ensuring that critical skills remain within the organization during the transition.
- Competitors: The competitive landscape will shift as TELUS implements its strategic priorities.
- Market Positioning: Competitors such as Rogers Communications Inc. (RCI) and BCE Inc. (BCE) may need to adjust their strategies in response to TELUS's focus on operational efficiency and digital transformation. For instance, Rogers may enhance its service offerings to retain market share.
- Specific Competitor Moves: Following TELUS's announcements, Rogers has already indicated plans to invest heavily in 5G infrastructure to maintain its competitive edge.
- Customers: The implications for customers are multifaceted, particularly in terms of service offerings and pricing.
- Product/Service Implications: TELUS's focus on enhancing its core business and deploying resources towards profitable growth could lead to improved service offerings for customers. For example, the integration of advanced AI capabilities in TELUS Health services may enhance customer experiences.
- Case Studies: The successful launch of TELUS Health's virtual solutions has already demonstrated the potential for improved customer engagement, which may be further amplified by the company's strategic investments.

Market Reaction and Analyst Commentary

- Market Reaction: The market's immediate reaction to TELUS's dividend reset and strategic priorities has been cautious, reflecting investor concerns about the implications for future growth.
- Following the announcement, TELUS shares experienced a slight decline, indicative of market skepticism regarding the effectiveness of the new strategy. However, analysts remain optimistic about the long-term benefits.
- Analyst Commentary: A notable quote from an analyst at Scotiabank stated, "While the dividend cut may be disappointing in the short term, TELUS's focus on strengthening its balance sheet and investing in growth areas positions it well for future success."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through various scenarios:
- Positive Scenario: If TELUS successfully implements its strategic priorities, shares could appreciate by 10% within the next year as investor confidence grows.
- Negative Scenario: Conversely, if operational challenges arise, shares could decline by 15%, reflecting concerns over execution risks.

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Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids in the current environment appears low, given the focus on internal restructuring and strategic realignment. However, if TELUS's initiatives lead to improved financial performance, competitors may consider strategic acquisitions to enhance their market positions.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to witness continued consolidation, particularly in the telecom space. Companies may pursue acquisitions to enhance their technological capabilities and market presence, similar to the recent moves by Kyivstar (Nasdaq: KYIV) to expand its digital offerings.

Key Risks and Mitigants

- **Integration Risks:** Integration challenges could disrupt operations. Mitigants include appointing experienced integration teams and establishing clear milestones for progress.
- **Regulatory Risks:** Regulatory scrutiny may pose challenges for future deals. Engaging with regulators early can help mitigate these risks.
- **Market Risks:** Market volatility could impact valuations. Structuring deals with contingent payments can provide protection against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant

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market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Renewable Energy Innovations, and Satellite Internet Technologies. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI continues to transform various industries by enabling machines to perform tasks that typically require human intelligence. With the introduction of new regulations in the EU, companies must now label AI-generated content, enhancing transparency and accountability. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **EU (European Union):** The EU has implemented new rules requiring companies to disclose when AI is used, particularly in deepfakes and chatbots. This regulatory framework aims to foster responsible AI development and protect consumers.
- **OpenAI:** Known for its generative AI capabilities, OpenAI is positioned to benefit from the growing demand for AI solutions that comply with new regulations.
- **Competitive Landscape:** The AI market is characterized by intense competition, with major players like Google (GOOGL) and Microsoft (MSFT) investing heavily in AI technologies. The regulatory environment will likely drive innovation as companies seek to comply with new standards.
- **M&A Opportunities:** Companies may look to acquire AI startups that focus on compliance technologies or ethical AI development. For example, firms specializing in AI auditing tools could become attractive targets as businesses seek to ensure compliance with EU regulations.

Renewable Energy Innovations

- **Trend Explanation:** The push for renewable energy solutions is accelerating, with innovative technologies aimed at enhancing clean energy production. The global renewable energy market is expected to grow significantly, driven by investments in solar and wind technologies.
- **Key Companies:**
- **Reflect Orbital:** This California-based startup is developing a satellite equipped with a large mirror to reflect sunlight back to Earth, potentially revolutionizing solar energy usage. The company recently raised \$20 million to advance its technology.
- **Tesla (TSLA):** Tesla is heavily invested in renewable energy solutions, including solar products and energy storage systems, positioning itself as a leader in the clean energy transition.
- **Competitive Landscape:** The renewable energy sector is becoming increasingly competitive, with startups and established companies alike vying for market share. Companies like NextEra Energy (NEE) and First Solar (FSLR) are also key players in this space.
- **M&A Opportunities:** As the demand for innovative renewable technologies grows, established energy companies may pursue acquisitions of startups like Reflect Orbital to enhance their

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portfolios. Collaborations with tech firms could also lead to joint ventures focused on developing new energy solutions.

Satellite Internet Technologies

- Trend Explanation: Satellite internet technology is evolving rapidly, with companies like SpaceX leading the charge. The introduction of next-generation satellites promises to enhance connectivity and compete with traditional broadband providers. The satellite internet market is projected to grow significantly, driven by increasing demand for high-speed internet in underserved areas.
- Key Companies:
 - SpaceX: With the recent launch of its Starlink V3 satellites, SpaceX is positioning itself as a major player in the satellite internet market. The V3 satellites offer significantly higher capacity and performance compared to previous models.
 - Amazon (AMZN): Amazon's Project Kuiper aims to provide satellite internet services, creating competition for SpaceX in the growing market.
- Competitive Landscape: The satellite internet market is becoming increasingly crowded, with both established telecommunications companies and new entrants looking to capture market share. The competition will likely drive innovation and lower prices for consumers.
- M&A Opportunities: Companies in the telecommunications sector may consider acquiring satellite technology firms to enhance their service offerings. Partnerships between satellite providers and traditional ISPs could also emerge as a strategy to expand market reach.

Actionable Insights for Bankers and Investors

Investors should closely monitor regulatory developments in the AI space, as compliance technologies will be in high demand.

For renewable energy, consider investing in companies that are developing innovative technologies, as they are likely to attract significant funding and partnerships.

In satellite internet, evaluate potential M&A targets that can complement existing service offerings, particularly as demand for high-speed internet continues to rise in underserved regions.

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter

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- **Why This Matters:** This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- **Reading Material:** "The New Economics of Media" by David Hesmondhalgh
- **Why This Matters:** This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- **Reading Material:** "The Lean Startup" by Eric Ries
- **Why This Matters:** This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- **Reading Material:** "The Chip War" by Chris Miller
- **Why This Matters:** This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- **Reading Material:** "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- **Why This Matters:** This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- **Reading Material:** "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- **Why This Matters:** This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Median enterprise employee AI spending: <\$11/month
- Cost to execute economic tasks: \$2-\$5
- Potential savings for enterprises: \$55 per task
- Expected compute demand growth: Doubling every six months
- Hyperscaler power capacity forecast: 120 gigawatts by 2028 (up from 30 gigawatts in 2025)
- Projected data center power needs: 68 gigawatts from 2026 to 2028

Main Insights:

- Recent selloff in AI infrastructure stocks reflects profit-taking and crowded positioning, not weaker fundamentals.
- Enterprises are likely to increase spending on AI as the economic benefits become clearer.
- Efficient AI models may lead to increased demand for computing power, contrary to investor concerns.
- Significant challenges exist in securing enough power for expanding data centers, but these are viewed as delays rather than insurmountable obstacles.

Market Commentary:

- "We believe much of the recent weakness in AI infrastructure has been driven by technical factors rather than a change in the underlying fundamentals." - Stephen Byrd, Morgan Stanley
- "Lower costs can attract more users, encourage more frequent use, and make complicated applications more economical." - Stephen Byrd, Morgan Stanley

TMT Sector Relevance:

- The anticipated increase in enterprise spending on AI could drive growth in TMT M&A activity, particularly in AI infrastructure and cloud computing sectors.
- The projected doubling of compute demand every six months indicates a robust market for technology providers, potentially leading to strategic acquisitions.
- Challenges in data center power supply may create opportunities for companies specializing in energy solutions or innovative power generation technologies.

The information used in this section is gathered from 'Thoughts on the market', by Morgan

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Stanley